

AI in Financial Services: Market Analysis and Prediction

Sector research prepared by Ioanna Renta & Elizabeta Marku · SilverTrust Brief · Ironhack, August 2026

Introduction. AI is reshaping how investment decisions are made across Europe, pulled by two forces at once: firms want faster, better insight from data, while new EU regulation makes deploying that AI harder without significant compliance work — making this a highly active space for an AI consulting engagement.

What's Moving in This Sector Right Now

- **Top spending priority.** AI is the #1 spending priority for European financial firms — 23% of all European AI investment in 2025 (IDC). Generative AI in financial services is growing over 31%/year, and 86% of institutions globally report AI-driven revenue gains.
- **Focus has shifted to prediction.** Fraud detection is now mature; the growth area is AI that predicts markets by scanning news, earnings calls, economic data and alternative sources (e.g. satellite imagery). AI-signal hedge funds outperformed traditional strategies by 3–7 points in 2025 (BarclayHedge).
- **The EU AI Act is the defining constraint.** In force since Aug 2024, it labels credit, investment and risk-assessment AI “high-risk” — requiring model documentation, human oversight and bias-testing by August 2027. Most firms aren't ready, driving demand for outside help.
- **The blocker is messy data, not missing tools.** Market, risk and client data sit in disconnected systems. Analysts spend nearly half their time reconciling data instead of analyzing it — until that's fixed, even the best model is unreliable.

Facts a Consultant Would Need to Know

Who the buyers are [Target Client Segment: Investment Banks]

SEGMENT	EXAMPLES	DECISION-MAKER & NEED
Asset Managers	Amundi, DWS, Schroders	CIO / Head of Quant Research — improve opportunity-spotting, not replace analysts
Hedge Funds	Man Group	Portfolio Manager / CTO — most aggressive buyers; need live-data integration, regulator-explainable models
Investment Banks	Deutsche Bank, BNP Paribas, Barclays	CRO / CDO — credit risk modelling and trade execution
Insurers	Allianz, AXA	CIO / Actuarial Officer — portfolio management and claims prediction

How the work runs today

Quant teams build Python scoring models — ranking stocks on measurable factors such as value, momentum and financial health — and increasingly feed in AI-read news, earnings transcripts and ESG reports too. The bottleneck: cleaning and reconciling data across systems built separately over the years consumes most of the team's time, while regulatory reporting to the EU is still largely manual.

Key constraints

REGULATION	REQUIREMENT
EU AI Act	High-risk classification for credit, investment and risk AI — models must be documented, human-overseen and bias-tested. Deadline Aug 2027; penalties up to €30M or 6% of global revenue.
GDPR	Automated decisions materially affecting a person (e.g. a credit refusal) must be explainable — the legal reason black-box AI is a compliance risk in finance.
MiFID II	Detailed trade reporting and a human risk check required before AI-generated trading signals can be executed.
SFDR	ESG disclosure duty for funds — drives demand for AI that can extract ESG data from company reports.

AI Projects Already Happening in This Space

EXAMPLE	WHAT IT DOES
Amundi & UBS Asset Mgmt	Scan unstructured data — news, earnings calls, economic reports — for market signals faster than analysts can manually. Amundi: Europe's largest asset manager, >€2T AUM.
Mastercard Decision Intelligence	Graph-based AI scores 143bn transactions/year for fraud risk by mapping account, device and location relationships. Licensed by European banks.
Goldman Sachs & Morgan Stanley	AI-timed order splitting cut large-position trading costs 8–22% in European equities (2024–25 published trials).
Man Group	Europe's largest listed hedge fund; ML models trade patterns across asset classes globally, continuously learning from new data.
European Banking Authority (EBA)	2024 guidance on ML in bank credit scoring — shaping how every major European bank builds its AI credit systems.

Annex — Sources & References

Every source and named example cited in this brief

About this brief. Sector research on AI adoption in European financial services, prepared as part of the SilverTrust AI Consulting engagement portfolio to inform prospecting and client conversations in this vertical.

MARKET & INVESTMENT DATA

European AI investment share & growth, financial services (2025) *IDC*

AI-signal hedge fund performance vs. traditional strategies (2025) *BarclayHedge*

REGULATORY

EU Artificial Intelligence Act (high-risk classification, Aug 2027 deadline) *Regulation (EU) 2024/1689*

General Data Protection Regulation (explainability of automated decisions) *GDPR*

Markets in Financial Instruments Directive II (trade reporting & human oversight) *MiFID II*

Sustainable Finance Disclosure Regulation (ESG disclosure) *SFDR*

Guidance on the use of ML in credit scoring (2024) *European Banking Authority (EBA)*

COMPANY & CASE EXAMPLES CITED

Amundi & UBS Asset Management — unstructured-data market signals *Named industry examples*

Mastercard Decision Intelligence — transaction fraud scoring *Named industry examples*

Goldman Sachs & Morgan Stanley — AI-assisted trade execution (2024–25) *Named industry examples*

Man Group — systematic ML trading across asset classes *Named industry examples*